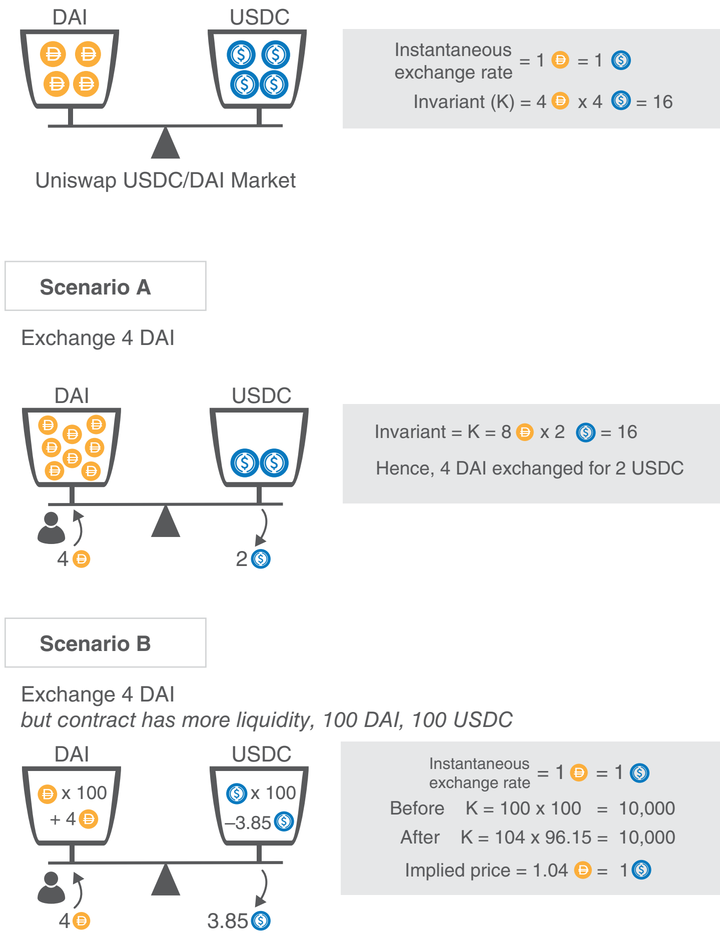

Figure 6.6 The Mechanics of a Uniswap Automated Market Maker

the market maker). Following the preceding example, higher invariants lead to lower slippage and therefore an increase in effective liquidity. We can think of the invariant as a direct measure of liquidity. In summary, liquidity providing